Asset Allocation: Risk Premium Sits in Equities, Not Credit

Exhibit 5. China is the only market in the region cheap on both risk premium and multiple

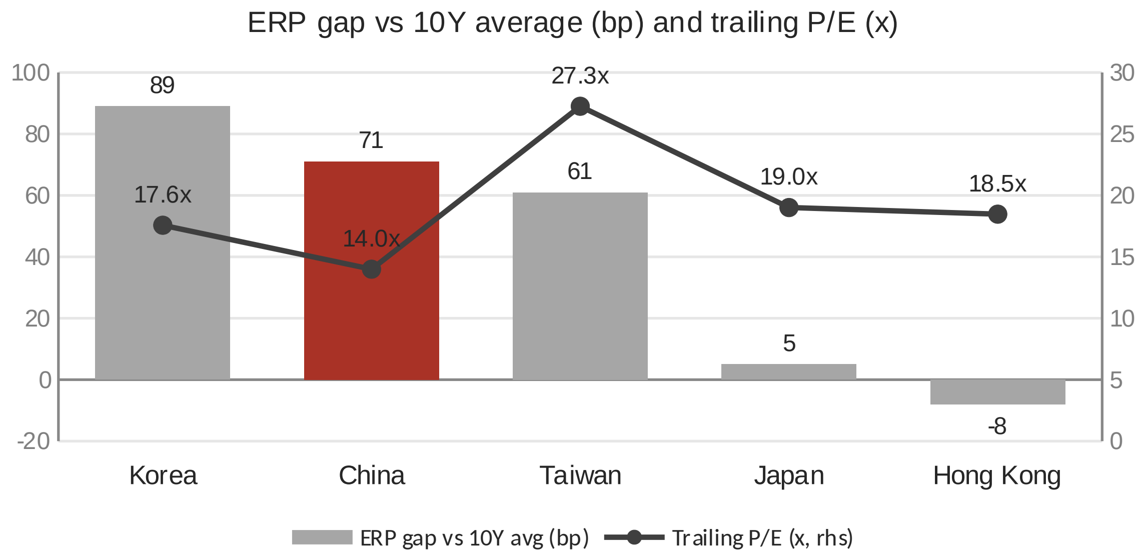
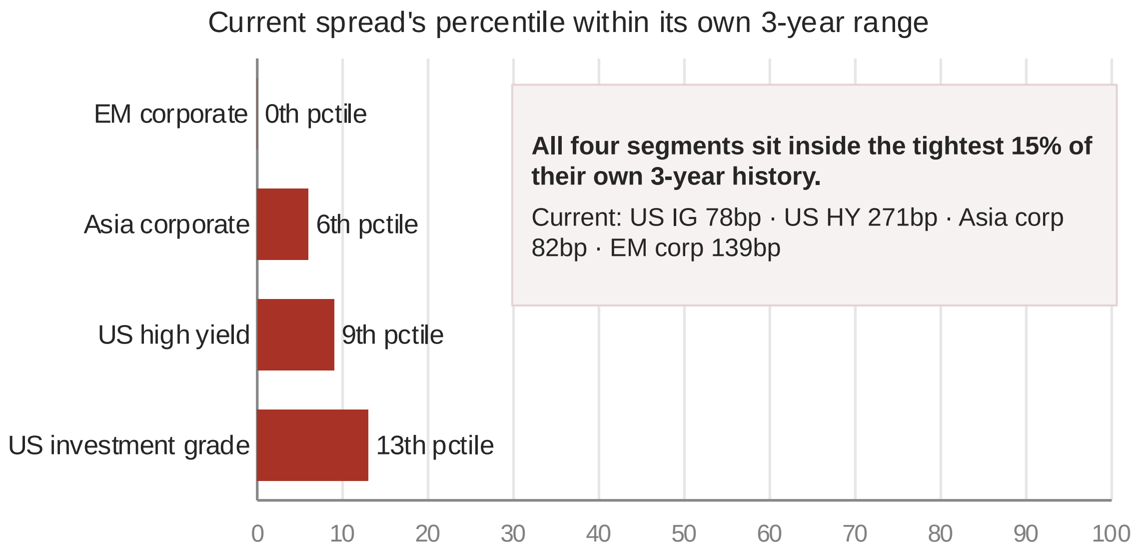


Exhibit 6. Credit spreads sit in the bottom decile of their 3-year range, leaving little cushion



Asset class	Stance	Expression	Key risk / what would change our view
APAC equities	**OW**	Long CATL via CSI New Energy (399808) — top-quartile 2Y EPS CAGR at a PEG below 1.0x (Exhibit 4)	EV price competition compresses margins; China policy support fades
Japan duration	**UW**	JGB 2s10s bear steepener	2s10s already 98th pctile — trade needs a range break (JGB supply, BoJ normalisation), not mean reversion
Credit	**UW**	Fund equity beta out of spread product rather than adding risk in credit	Spreads in the 0th–13th pctile: asymmetric widening risk, minimal carry cushion
Commodities	**N**	No active position; Brent contained per Exhibit 2	Hormuz re-escalation — partly hedged by the new-energy equity leg

Sources: Bloomberg, MSCI, ICE. ERP = trailing earnings yield less local 10Y government yield; percentiles measured against each series' own trailing range.